

before she receives them. She has three MasterCard and four VISA cards, all charged to the limit. When she gets the bills she pays the minimum due, without bothering to check the charges. Every month or two she requests an increase in one of her credit lines. Nancy's idea of a sustained, long-term savings program is to get a good interest rate on a bill-consolidation loan. When you ask about her household budget, she gets a blank look on her face and asks you to repeat the question.

Nancy pays high rent on her San Francisco apartment. She skis in Tahoe most winter weekends, and pampers herself with extravagant summer vacations. She buys stylish clothes for herself and her daughters. Every few years she gets a new car.

So Nancy has high expenses. But everyone has high expenses. The question is why some people who earn as much as Nancy seem to manage to live a good life and save something to boot. Nancy has several friends who can retire now. But unless she robs a bank, Nancy has as much chance of retiring young as does a \$20,000-a-year office clerk with seven small children.

Millions of young Americans have \$400,000 or so of net worth and can retire with class. But what about the rest of you, the millions of Nancys with good incomes but with little net worth and little hope of increasing it? If you're someone who views \$400,000 as an impossible dream, this chapter and the next are for you.

This chapter gives four rules for building your net worth. Follow the rules and you'll be on your way to the \$400,000 plateau. If you decide not to follow the rules, or if you decide you *can't* follow the rules, read about bare-bones retirement in the next chapter. Bare-bones retirement requires some sacrifice. But you can do bare-bones retirement with as little as \$100,000 of total net worth.